Consolidated Financial Statements
(Expressed in Canadian dollars)

CANADA BREAD COMPANY, LIMITED

Three and six months ended June 30, 2006 and 2005

CANADA BREAD COMPANY, LIMITED

Consolidated Balance Sheets
(In thousands of Canadian dollars)

	As at June 30, 2006	As at June 30, 2005	As at December 31, 2005
	(Unaudited)	*(Unaudited)*	
ASSETS			
Current assets			
Cash and cash equivalents	**$ –**	$ 33,231	$ 11,382
Accounts receivable (Note 4)	**39,626**	35,434	22,070
Inventories	**41,944**	33,014	35,955
Future tax asset – current	**4,787**	6,723	5,327
Prepaid expenses and other assets	**6,363**	5,233	2,142
	92,720	113,635	76,876
Property and equipment	**350,427**	362,402	353,669
Goodwill (Note 7)	**311,426**	322,715	314,949
Future tax asset – non-current	**11,389**	7,524	8,669
Other intangibles	**5,588**	5,661	5,948
Other long-term assets	**575**	2,799	1,252
	$ 772,125	$ 814,736	$ 761,363
LIABILITIES AND SHAREHOLDERS' EQUITY			
Current liabilities			
Bank indebtedness	**$ 3,096**	$ **–**	$ **–**
Accounts payable and accrued charges	**132,031**	137,143	136,385
Due to Maple Leaf Foods Inc.	**3,314**	256	4,736
Dividends payable	**1,525**	1,525	1,525
Income and other taxes payable	**15,628**	18,419	22,624
Current portion of long-term debt	**174**	123,130	226
	155,768	280,473	165,496
Long-term debt	**14,431**	282	32,083
Future tax liability	**21,964**	24,220	23,303
Other long-term liabilities	**5,871**	5,958	5,749
Shareholders' equity	**574,091**	503,803	534,732
	$ 772,125	$ 814,736	$ 761,363

The accompanying notes to the consolidated financial statements are an integral part of these statements.

CANADA BREAD COMPANY, LIMITED

Consolidated Statements of Earnings
(In thousands of Canadian dollars, except share amounts)

(Unaudited)	Three months ended June 30, **2006**	2005	Six months ended June 30, **2006**	2005
		(As Restated) (Note 2(a))		(As Restated) (Note 2(a))
Sales	**$ 335,545**	$ 314,280	**$ 637,109**	$ 603,656
Earnings from operations before restructuring costs	**32,182**	30,465	**60,183**	52,490
Restructuring costs (Note 3)	**–**	–	**–**	4,723
Earnings from operations	**32,182**	30,465	**60,183**	47,767
Other income (expense)	**(6)**	656	**180**	964
Earnings before interest and income taxes	**32,176**	31,121	**60,363**	48,731
Interest expense	**1,105**	1,690	**1,834**	3,391
Earnings before income taxes	**31,071**	29,431	**58,529**	45,340
Income taxes (Note 8)	**8,191**	8,169	**16,252**	12,193
Net earnings for the period	**$ 22,880**	$ 21,262	**$ 42,277**	$ 33,147
Earnings per share - basic	**$ 0.90**	$ 0.84	**$ 1.66**	$ 1.30
Earnings per share - diluted	**$ 0.90**	$ 0.83	**$ 1.66**	$ 1.29
Weighted average number of shares (millions)	**25.4**	25.4	**25.4**	25.4

The accompanying notes to the consolidated financial statements are an integral part of these statements.

Consolidated Statements of Retained Earnings
(In thousands of Canadian dollars)

(Unaudited)	Six months ended June 30, **2006**	2005
Retained earnings, beginning of period	**$ 406,649**	$ 337,827
Net earnings for the period	**42,277**	33,147
Dividends declared ($0.12 per share; 2005: $0.12 per share)	**(3,050)**	(3,050)
Retained earnings, end of period	**$ 445,876**	$ 367,924

The accompanying notes to the consolidated financial statements are an integral part of these statements.

CANADA BREAD COMPANY, LIMITED

Consolidated Statements of Cash Flows
(In thousands of Canadian dollars)

	Three months ended June 30,		Six months ended June 30,	
(Unaudited)	**2006**	2005	**2006**	2005
CASH PROVIDED BY (USED IN)				
Operating activities				
Net earnings	**$ 22,880**	$ 21,262	**$ 42,277**	$ 33,147
Add (deduct) items not affecting cash:				
Depreciation and amortization	**11,090**	10,611	**22,384**	21,210
Future income taxes	**(2,442)**	(536)	**(3,519)**	(1,149)
Loss (gain) on sale of property and equipment	**32**	(629)	**(130)**	(881)
Other	**(1,184)**	1,676	**(1,068)**	1,780
Change in operating working capital	**(4,356)**	(1,951)	**(39,440)**	(27,617)
	26,020	30,433	**20,504**	26,490
Financing activities				
Dividends paid	**(1,525)**	(1,525)	**(3,050)**	(3,050)
Change in long-term debt	**(13,872)**	3,282	**(10,578)**	28,506
	(15,397)	1,757	**(13,628)**	25,456
Investing activities				
Additions to property and equipment	**(10,447)**	(20,666)	**(20,317)**	(32,606)
Proceeds from sale of property and equipment	**530**	2,292	**806**	4,361
Purchase of net assets of business	**–**	**–**	**(1,865)**	**–**
Purchase (sale) of intangible assets	**(128)**	344	**22**	218
	(10,045)	(18,030)	**(21,354)**	(28,027)
Increase (decrease) in cash and cash equivalents	**578**	14,160	**(14,478)**	23,919
Cash and cash equivalents (bank indebtedness), beginning of period	**(3,674)**	19,071	**11,382**	9,312
Cash and cash equivalents (bank indebtedness), end of period	**$ (3,096)**	$ 33,231	**$ (3,096)**	$ 33,231

The accompanying notes to the consolidated financial statements are an integral part of these statements.

CANADA BREAD COMPANY, LIMITED

Segmented Financial Information
(In thousands of Canadian dollars)

(Unaudited)	Three months ended June 30, **2006**	2005 (As Restated) (Note 2(a))	Six months ended June 30, **2006**	2005 (As Restated) (Note 2(a))
Sales				
Fresh Bakery	**$ 229,841**	$ 221,522	**$ 437,335**	$ 419,347
Frozen Bakery	**105,704**	92,758	**199,774**	184,309
	$ 335,545	$ 314,280	**$ 637,109**	$ 603,656
Earnings from operations, before restructuring costs				
Fresh Bakery	**$ 26,844**	$ 25,718	**$ 48,420**	$ 40,738
Frozen Bakery	**5,338**	4,747	**11,763**	11,752
	$ 32,182	$ 30,465	**$ 60,183**	$ 52,490
Additions to property and equipment				
Fresh Bakery	**$ 7,590**	$ 8,284	**$ 13,141**	$ 12,465
Frozen Bakery	**2,857**	12,382	**7,176**	20,141
	$ 10,447	$ 20,666	**$ 20,317**	$ 32,606
Depreciation and amortization				
Fresh Bakery	**$ 5,687**	$ 5,552	**$ 11,499**	$ 11,174
Frozen Bakery	**5,403**	5,059	**10,885**	10,036
	$ **11,090**	$ 10,611	$ **22,384**	$ 21,210

	As at June 30, 2006	As at June 30, 2005	As at December 31, 2005
	(Unaudited)	(Unaudited)	
Total assets (Note 2(b))			
Fresh Bakery	**$ 368,730**	$ 370,754	$ 360,842
Frozen Bakery	**340,692**	369,927	351,737
Non-allocated assets	**62,703**	74,055	48,784
	$ 772,125	$ 814,736	$ 761,363

CANADA BREAD COMPANY, LIMITED

Notes to Consolidated Financial Statements
(Tabular amounts in thousands of Canadian dollars)

Six months ended June 30, 2006 and 2005

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1. THE COMPANY

Canada Bread Company, Limited ("Canada Bread" or "the Company") and its subsidiaries operate in the bakery industry across North America and internationally. Its principal business is the manufacture and sale of bakery and pasta products, including fresh bread, rolls, bagels and par-baked bread. Canada Bread is 87.5% owned by Maple Leaf Foods Inc. ("Maple Leaf") as at June 30, 2006.

2. SIGNIFICANT ACCOUNTING POLICIES

The unaudited interim consolidated financial statements should be read in conjunction with the annual consolidated financial statements for the year ended December 31, 2005. These unaudited interim consolidated financial statements have been prepared in accordance with Canadian generally accepted accounting principles using the same accounting policies as were applied in the consolidated financial statements for the year ended December 31, 2005, except for the following:

a) Accounting Changes

Effective January 1, 2006 the Company adopted retroactively, with restatement of prior periods, the guidance presented in EIC Abstract 156 "Accounting by a Vendor for Consideration Given to a Customer (including a Reseller of the Vendor's Products)". The EIC requires vendors to classify certain consideration provided to customers as a reduction of revenue rather than as cost of sales unless the vendor receives, or will receive an identifiable benefit in exchange for the consideration. The impact of the adoption of this standard was a reduction in sales during the quarter of approximately $33.5 million (2005: $30.3 million) and year-to-date of approximately $64.0 million (2005: $57.8 million). This accounting change had no impact on operating earnings, net earnings or earnings per share.

b) Comparative figures

Certain 2005 comparative figures have been reclassified to conform to the financial statement presentation adopted in 2006 and the year ended 2005.

3. RESTRUCTURING COSTS

During the first quarter of 2005, the Company recorded $4.7 million in restructuring costs ($3.2 million after tax), relating primarily to the closure of its bakery in Peterborough, England and the closure of a pasta manufacturing line due to the termination of a co-packing arrangement with Maple Leaf. Included in the $4.7 million were provisions of $1.4 million relating to employee terminations, facility exit costs and other restructuring costs. Of the $1.4 million in provisions, a balance of $0.5 million remains at June 30, 2006.

4. ACCOUNTS RECEIVABLE

Under revolving securitization programs, the Company has sold, with limited recourse, certain of its trade accounts receivable to financial institutions. The Company retains servicing responsibilities and assumes limited recourse obligations for delinquent receivables. At June 30, 2006, trade accounts receivable amounting to $70.0 million (June 30, 2005: $70.0 million; December 31, 2005: $70.0 million) has been sold under these programs.

5. PENSIONS

During the quarter, the Company recorded $2.6 million related to net benefit plan expense (2005: $2.5 million). For the first six months of 2006, the Company recorded $5.1 million in net benefit plan expense (2005: $4.8 million).

6. ACQUISITIONS

On March 24, 2006, the Company acquired Harvestime Limited (Harvestime), a bakery in Walsall, England for net cash consideration of $1.9 million. Harvestime is a producer of par-baked breads, rolls and specialty bakery products. The Company has not yet finalized the purchase price allocation for this acquisition.

7. GOODWILL

In accordance with Canadian accounting standards section 3062, "Goodwill and Other Intangible Assets", the Company tests goodwill for possible impairment on an annual basis and at any other time if an event occurs or circumstances change that would more likely than not reduce the fair value of a reporting unit below its carrying amount. During the second quarter of 2006, the Company completed the goodwill impairment test for all reporting units and determined that there was no impairment to the carrying value of goodwill.

8. INCOME TAXES

Included in the income tax expense for the quarter is a one-time gain of $1.3 million related to a revaluation of the company’s future tax assets and liabilities due to changes in income tax regulations enacted during the quarter.

9. SUPPLEMENTAL CASH FLOW INFORMATION

	Three months ended June 30,		Six months ended June 30,	
	2006	2005	**2006**	2005
Net interest paid	**$ 1,358**	$ 1,627	**$ 2,087**	$ 3,861
Net income taxes paid	**10,791**	5,307	**28,068**	20,497